

buy 5 percent of the company's common stock for a nominal amount. All in all, Berkshire Hathaway will earn a 6 percent annual return on its blended investment, excluding the value of the warrants, the premium conversion of the preferred shares, and any future growth in the intrinsic value of the company. Even if Heinz loses money, Berkshire Hathaway will be paid its preferred dividend. And even in the remote possibility that Heinz would go bankrupt, Berkshire would be in a position to wipe out other creditors and position itself favorably in a newly and cheaply reorganized Heinz.

Tenet: Rationality

It is easy to see how Heinz fits the profile of the type of company Buffett likes to purchase. The business is simple and understandable; it has had a consistent operating history; and, because it has positioned itself to benefit from the growth of emerging markets, the company has favorable long-term prospects. The return on investable capital (including debt) is 17 percent, with a return on shareholders' equity of 35 percent.

But there are two caveats to the Heinz deal that make this purchase unique. First, the company will carry \$6 of debt for every \$1 of equity. Interest on the debt along with the 9 percent preferred dividend paid to Berkshire Hathaway will command much of the company's owner earnings. In a word, the company is now highly leveraged. Second, the company will be run by a new management team at 3G Capital led by Brazil's richest man, Jorge Paulo Lemann.

In the past, when Buffett bought a company, he preferred to have the existing management team continue to run the business. But in this case, a new management team will be responsible for the future of Heinz.

Buffett first met Lemann when both were on the board of Gillette in the 1990s. Although Lemann and 3G Capital are not well known in the United States, this team has had tremendous success with fast-food restaurants, banks, and brewers. In 2004, in what is considered his watershed deal, Lemann merged his smaller Brazilian beer company AmBev with Belgium's much larger Interbrew, the maker of Stella Artois and Beck's. Even though AmBev was smaller, it was Lemann's associates who took the senior jobs at the combined company. Then in 2008, this newly merged